Guard of Honour. He pressed for action against JuD Chief Hafiz Saeed and the handlers of the 26/11 terrorists including those who are believed to be in the Pak army. Chidambaram is believed to have sought voice samples of the Pak handlers and raised issues such as infiltration in J&K also.

However, the mood that was set by these two meetings was suddenly dampened by a diplomatic show down during the Foreign Ministers' Meet in Islamabad on 16 July, 2010. Indian Foreign Minister S.M. Krishna and his Pak counterpart Shah Mahmood Qureshi soon got caught in a diplomatic imbroglio when Pak refused to engage in any substantial manner with the critical areas of 26/11, cross-border terrorism and infiltration by arguing that it could not speed up the judicial process. Further, a diplomatic spat broke off during the joint press conference on Balochistan and infiltration in J&K. Another undiplomatic posture adopted by Pak Foreign Minister Qureshi spoiled the whole atmosphere when he spoke to the Pak journalists while Mr. Krishna was still in Islamabad that Indian delegation was not "fully prepared" for the talks and that his counterpart had repeatedly sought directions from Delhi when the deliberations were on. Thus, the diplomatic parleys ended amidst sharp differences and undiplomatic gestures ruining the spirit of bilateral negotiations. Further, the Wagah land export deal between Pakistan and Afghanistan shuts out India completely, where no Indian export to Afghanistan would be allowed through Wagah, but Afghanistan would have the opportunity to export to India. This was signed in the presence of the US Secretary of States, Hillary Clinton. India, faced with a dilemma, cannot obstruct the entry of Afghan goods because that will antagonize Kabul and add to its ever-increasing poverty. But this treaty can give strategic one-upmanship to Pakistan. US, however, wanted continuation of Indo-Pak talks. Soon after the diplomatic showdown between India and Pakistan, the US Secretary of States, Hillary Clinton, during her visit to Islamabad for the US-Pakistan strategic Dialogue in 19 July 2010, made it clear that USA is interested that the process between Pakistan and India is sustained and both amicably resolve their outstanding issues.

Indo-US relations saw new developments with Manmohan Singh's